

tives that went bad, forcing it to enter a painful debt restructuring programme. By 2012, the company looked to have overcome its troubles, only for it to come up against some strong headwinds. The challenges were compounded by the increasing complexity of the pharma industry, characterised by stringent regulations, intense competition, and rising costs.

The pharma and biotechnology giant that Wockhardt Chairman Khorakiwala painstakingly built is now a shadow of its former self. But he is as resolute as before when he meets this journalist.

What fuels this optimism? “We have invested heavily in research and innovation, and raised funds, showing our long-term commitment. We plan to be cash-positive in the next two to three years, focus-

sing on clinical work and reducing the need for further investment,” he says.

He’s not done just yet. In fact, he believes he’s hit upon a winning formula.

THE BAGGAGE

Those plans will have to address some historical problems that have bogged Wockhardt down. It has been on a turbulent ride over the past decade. From ₹4,835.87 crore in FY14, gross sales fell to ₹2,798 crore in FY24. Meanwhile, it has reported losses since FY17. It posted a loss of ₹472 crore in FY24 against a loss of ₹621 crore in FY23. Back in FY14, the company posted a profit of nearly ₹843 crore. The last time Wockhardt reported a profit after tax of ₹251.59 crore was in FY16.

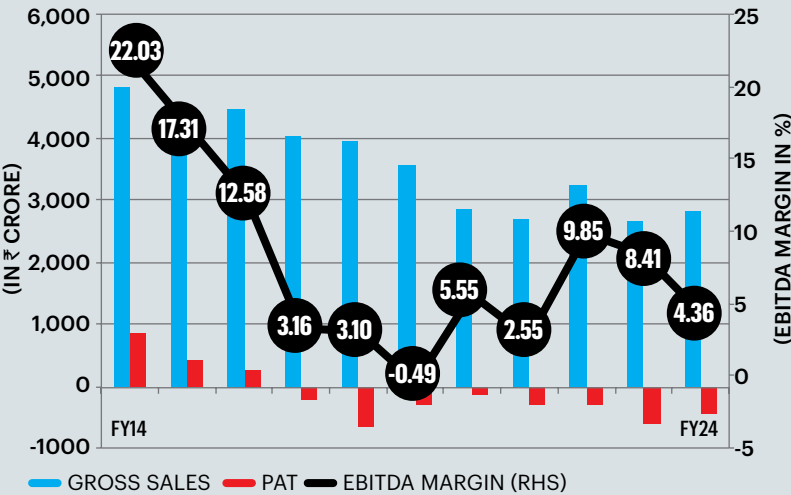
Many of Wockhardt’s prob-

lems, say analysts, stem from the aggressive acquisition spree it embarked on a couple of decades ago, beginning with Wallis Laboratory in the UK and Merind in India in 1998. That was followed by CP Pharmaceuticals in the UK in 2003, Espharma GmbH in Germany in 2004, Dumex in India in 2006, Pinewood Laboratories in Ireland in 2006, Morton Grove Pharmaceuticals in the US in 2007, and Negma in France in 2007. That pushed the company’s debt to about ₹4,000 crore in FY10.

In 2009, it suffered a body blow after its bets on complex derivatives turned costly because of the Great Recession. Those investments were aimed at optimising returns on surplus funds but led to a liquidity crunch amid increased risk aversion among investors and

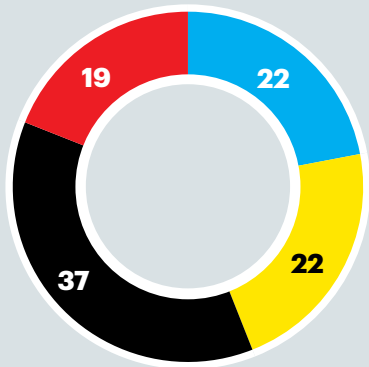
STATE OF THE FINANCES

► Wockhardt’s sales declined from ₹4,835.87 crore in FY14 to ₹2,798 crore in FY24 ► The company has reported losses consistently since FY17, with a loss of ₹472 crore in FY24 compared to ₹621 crore in FY23



NOTE CONSOLIDATED RESULTS

REVENUE CONTRIBUTION IN FY24 IN %



- DOMESTIC BUSINESS
- REST OF WORLD (ROW)
- UK OPERATIONS
- EU OPERATIONS

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